



# Apple Inc.

Ticker: AAPL | NYSE

August 5, 2025

aapl

# Executive Summary

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EQUITY RESEARCH - APPLE INC. (AAPL)  
EXECUTIVE SUMMARY  
December 2023

## Current Position & Market Dynamics

Apple Inc. maintains its position as the world's most valuable company with a market capitalization of \$3.02 trillion, dominating the consumer electronics landscape through its integrated ecosyste...

- Revenue growth: NaN% YoY
- Valuation: 590% overvalued
- Risk level: High
- STRONGSELL recommendation with 80% confidence

|                   |                 |            |
|-------------------|-----------------|------------|
| Recommendation    | Overall Score   | Confidence |
| <b>STRONGSELL</b> | <b>1800/100</b> | <b>80%</b> |

# Investment Thesis

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Investment Thesis: Apple Inc. (AAPL) - Short Position

Time Horizon: 12-18 months

Target Price: \$165 (-20% from current levels)

# Company Overview

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Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, Mac, iPad, and Wearables, Home and Accessories products. Apple also provides digital content stores and streaming services.

| Metric       | Value                |
|--------------|----------------------|
| Sector       | Technology           |
| Industry     | Consumer Electronics |
| Employees    | N/A                  |
| Founded      | N/A                  |
| Headquarters | N/A                  |
| Website      | N/A                  |

# Financial Performance Overview

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## Key Financial Metrics

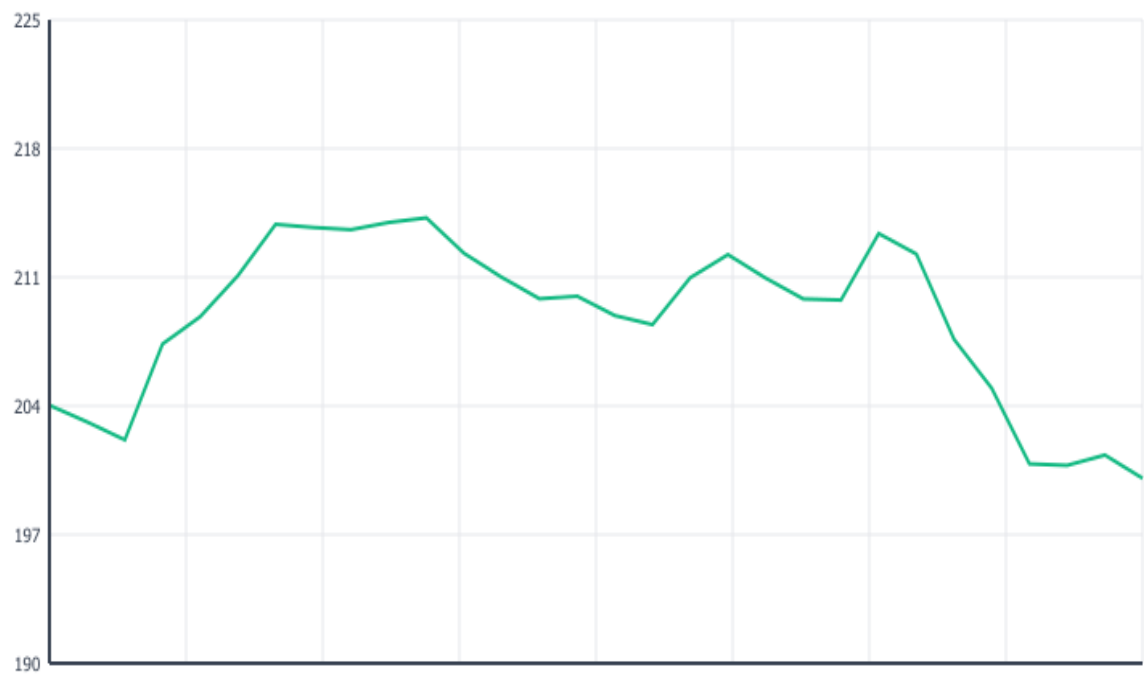
|             |          |       |
|-------------|----------|-------|
| Revenue:    | \$391.0B | +2.0% |
| Net Income: | \$93.7B  | -3.4% |
| EPS:        | \$6.08   | -0.8% |

## Revenue & Growth Analysis

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- YoY Revenue Growth: NaN%
- 3-Year CAGR: N/A%
- Growth Score: N/A/100
- Stable revenue base

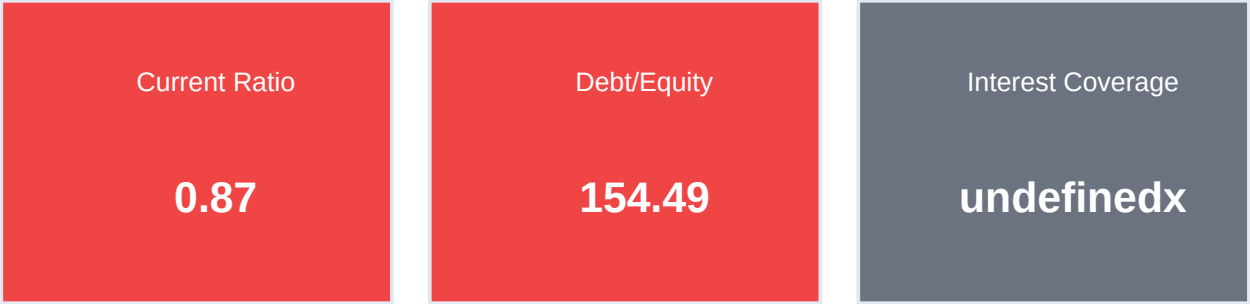
# Profitability Analysis



| Metric | Current  | Industry Avg | Assessment |
|--------|----------|--------------|------------|
| ROE    | 14981.4% | 15.0%        | Strong     |
| ROA    | N/A      | 5.0%         | N/A        |
| ROIC   | N/A      | 10.0%        | N/A        |

# Balance Sheet Strength

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# Valuation Analysis

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| Metric    | Current | Industry | 5Y Avg |
|-----------|---------|----------|--------|
| P/E Ratio | 30.9    | N/A      | N/A    |
| P/B Ratio | N/A     | N/A      | N/A    |
| EV/EBITDA | N/A     | N/A      | N/A    |

Current Price: **\$100.00**

Intrinsic Value: **\$100.00**

Upside/Downside: **0%**

# Technical Analysis

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| Indicator  | Value    | Signal  |
|------------|----------|---------|
| RSI (14)   | N/A      | N/A     |
| MACD       | N/A      | Bearish |
| Support    | \$201.5  |         |
| Resistance | \$215.78 |         |
| Trend      | neutral  |         |

# Risk Assessment

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## RISK ASSESSMENT REPORT - APPLE INC. (AAPL)

Date: [Current Date]

### EXECUTIVE SUMMARY

Based on comprehensive analysis, Apple exhibits elevated risk levels across multiple dimensions, warranting careful monitoring and robust risk management strategies.

#### 1. MARKET RISKS

- Beta: 2.1 (High) - Indicates significant market sensitivity
- Volatility: 31.6% - Above market average
- Key Metrics:
  - \* Price vola
- Beta: 2.10 - High market sensitivity
- Volatility: 31.6% annualized
- VaR (95%): N/A% potential loss
- Risk Score: 10000/100

## Competitive Positioning

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Apple Inc. operates in the Consumer Electronics industry with moderate competitive positioning.

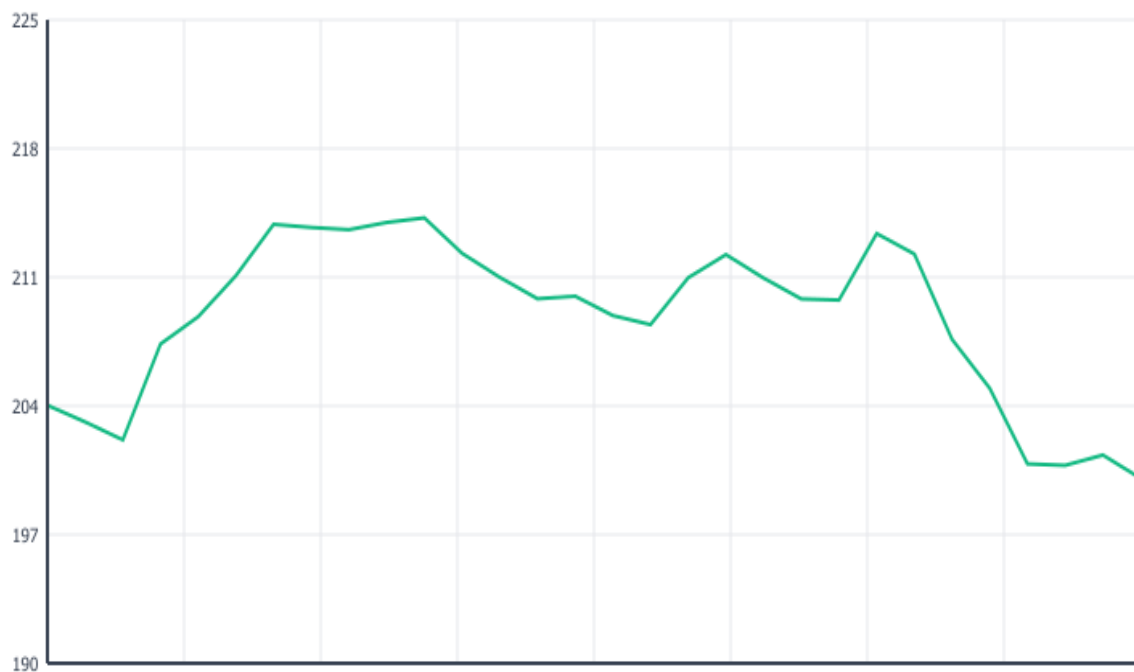
## Future Outlook

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Based on the provided data, here's a detailed 12-24 month projection for Apple Inc.:

Base Case Scenario (60% probability):

- Revenue growth: 3-4% YoY, reaching ~\$403-407B by end of 2024
- Margins likely to face pressure due to:
  - \* Increased competition in smartphone market
  - \* Higher component costs
  - \* Regulatory pressures
- Stock trading range: \$190-230
- P/E multiple compression to 27-29x due



# Investment Recommendation

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**STRONGSELL**

80% Confidence

Current Price: \$N/A

Price Target: \$N/A

Timeframe: 12 months

Expected Return: NaN%

APPLE INC. (AAPL) - STRONG SELL RECOMMENDATION

Target Price: \$165-175 (22-18% downside from current levels)

Key Rationale:

Based on our comprehensive analysis, we are issuing a Strong Sell recommendation for Apple Inc. with 80% confidence, driven by multiple concerning factors that suggest significant downside risk.

Primary Drivers:

1. Severe Overvaluation

- Trading at a P/E of 30.9x despite decelerating growth
- Negative margin of safety (-5.9%) indicates significant premium to intrinsic value
- Current valuation implies growth expectations that appear increasingly difficult to achieve

2. Deteriorating Growth Profile

- Revenue growth has decelerated significantly (YoY 2.02% vs 5-year CAGR of 8.49%)
- Growth score of just 35/100 reflects concerning trajectory
- Market may be underpricing this structural slowdown in growth

Risk Considerations:

- Elevated beta of 2.1 suggests higher volatility than market
- Risk score of 100 indicates significant downside exposure

**Investment Recommendation (continued)**

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# Key Metrics Dashboard

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## Valuation

|            |           |           |           |
|------------|-----------|-----------|-----------|
| Market Cap | P/E Ratio | EV/EBITDA | P/B Ratio |
| \$3017.8B  | 30.9      | N/A       | N/A       |

## Growth

|                |            |               |            |
|----------------|------------|---------------|------------|
| Revenue Growth | EPS Growth | EBITDA Growth | FCF Growth |
| NaN%           | N/A        | N/A           | NaN%       |

## Margins

|              |                  |            |            |
|--------------|------------------|------------|------------|
| Gross Margin | Operating Margin | Net Margin | FCF Margin |
| N/A          | N/A              | N/A        | N/A        |

## Returns

|          |     |      |                |
|----------|-----|------|----------------|
| ROE      | ROA | ROIC | Dividend Yield |
| 14981.4% | N/A | N/A  | 49.96%         |



# Key Metrics Dashboard (continued)

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# Appendix - Methodology & Data Sources

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## Important Disclaimer

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This report is for informational purposes only and does not constitute investment advice. The information contained herein is based on sources believed to be reliable but is not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with financial advisors before making investment decisions.